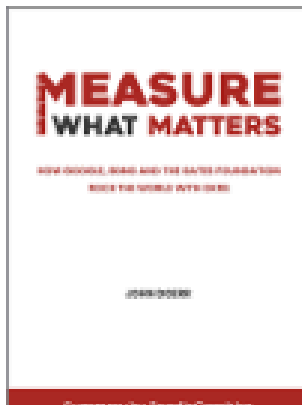




MEASURE WHAT MATTERS

How Google, Bono and the Gates Foundation
Rock the World with OKRs

JOHN DOERR



The Big “So What”

Great ideas are useless if you can’t execute them. Objectives and key results (OKRs) help to create clarity, focus, accountability, alignment and momentum to deliver real results. **This book explains the value of OKRs and why you should apply them in your work and life.**



Introduction

What are OKRs?



OKRs stand for objectives and key results. They provide a structured way for teams and individuals to set and achieve their goals.

- An objective is what you’re trying to achieve. A sound objective should be meaningful and inspiring. It typically involves a timeframe of at least 1 year.
- Key results (KRs) are how you’ll achieve the objective. They provide a yardstick to measure and track your progress. Good KRs are specific, measurable, challenging and time-bound.
- KRs → Objective. A KR should be so concrete that it’s crystal-clear if you have achieved it; there’s no grey area. Let’s imagine your long-term objective is to dominate the mid-range personal computer market. Without KRs, it’s hard to tell if you’re on-track. However, you can clearly measure if you’ve achieved a quarterly KR of winning 15 new designs or growing market share by 10%. Assuming you’ve identified the right KRs, you’d know in the next month or quarter whether you’re moving toward your objective. When you’ve achieved all your KRs, you’d have achieved your objective.

KEY QUOTES

“Ideas are easy. Execution is everything.”

*“If you don’t know where you’re going, you might not get there.”
—Yogi Berra*

“Objectives and key results drive clarity, accountability, and the uninhibited pursuit of greatness.”

“OKRs surface your primary goals. They channel efforts and coordination. They link diverse operations, lending purpose and unity to the entire organization.”



OKRs can be applied in any organization from startups to non-profit organizations and established corporations. OKRs have been adopted by many companies such as BMW, Disney, Exxon, LinkedIn, Oracle and Samsung. You can also apply OKRs in your personal life.

- However, there are no fixed steps or rules for OKRs. Instead of presenting specific how-to tips, Doerr uses various examples and interviews with leaders to explain the value and potential of OKRs.
- In this summary, we've distilled the key insights in 2 parts to explain how OKRs deliver results and the ingredients needed for successful OKR application.

OKR: lessons from Intel



Doerr learned about OKRs from Dr. Andy Grove when the latter was Intel's executive vice president. Grove later went on to become Intel's CEO. Intel's innovation management is built on the philosophy that knowledge alone isn't enough; it's how you apply the knowledge that matters. OKR is a manifestation of that philosophy.



The power of OKRs can be seen in "Operation Crush".

- In the late 1970s, Intel had developed the 8086 micro-processor—the first high-performance, 16-bit micro-processor—meant to capture the growing personal computer market. However, it was facing a real threat from Motorola's 68000.
- Intel responded swiftly with Operation Crush to infuse urgency and secure Intel's position as the market leader. In just 1 year, it mobilized the entire company to meet the challenge, and won a definitive victory over Motorola.
- Intel's leaders took the lead by quickly diagnosing their situation and strategic options—they decided they had no time to rebuild the 8086 and would have to focus on using marketing efforts instead. Once the broad direction was set, Operation Crush brought together the top management, salespeople and 4 marketing departments across 3 different locations.

KEY QUOTES

"OKRs are Swiss Army knives, suited to any environment."

*"It almost doesn't matter what you know. It's what you can do with whatever you know or can acquire and actually accomplish [that] tends to be valued here."
- Andy Grove*

"Crush was a thoroughly cascaded set of OKRs, heavily driven from the top, but with input from below."

- Teams developed solutions from bottom-up to support the high-level strategy. Each quarter, the broad objectives were translated into specific KRs for each key function—from engineering to marketing—and further expanded into concrete, actionable steps. Here's an example of 1 set of quarterly KRs:

CORPORATE OBJECTIVE
Establish the 8086 as the highest performance 16-bit microprocessor family.
KEY RESULTS (Q2 1980)
1. Develop and publish 5 benchmarks showing superior 8086 family performance (Applications)
2. Repackage the entire 8086 family of products (Marketing)
3. Get the 8MHz part into production (Engineering, Manufacturing)
4. Sample the arithmetic coprocessor no later than June 15 (Engineering)

- Since the OKRs were shared openly, people could coordinate their efforts dynamically and take swift, unified action. Intel's existing culture provided the necessary foundation for such an open, collaborative approach.



From Ideas to Sound Execution

OKRs help to translate ideas into results through 4 key success factors.

1. Focus and Commitment to Core Priorities



If you want to fill a jar with rocks, pebbles and sand, the best way is to start with the rocks, followed by the pebbles and sand, so the latter can fill in the empty spaces between the rocks. If you start with the sand and pebbles, you'll have no space left for the rocks. Likewise, **to maximize results, you must focus on your top priorities first.**



OKRs force leaders to decide on and commit to what matters most.

- Ask this question: What are the most important outcomes we must achieve in the next 3 months? Decide on the few core initiatives to focus on, and set the rest aside.
- Commit these priorities on paper so they can be clearly communicated throughout the organization to direct everyone's efforts results.

KEY QUOTES

"OKRs may be called a tool, or a protocol, or a process."

"An effective goal-setting system starts with disciplined thinking at the top, with leaders who invest the time and energy to choose what counts."



Senior leaders are 100% responsible for the organizational-level OKRs. This includes (i) setting the OKRs, (ii) articulating them clearly and (iii) role-modeling the desired actions and behaviors.

- Choosing what to focus on is an art, and it falls on senior leaders to make these tough decisions. Set aside the time and energy to research, analyze and think deeply about what truly matters. When in doubt, refer back to your mission, e.g. Google is guided by its mission to “organize the world’s information and make it universally accessible and useful.”
- In communicating the OKRs, make sure you address both the why and the what, to clearly show how the milestones are linked to the wider mission.



Tips/insights

- There’s no fixed or ideal way to do your planning. However, Doerr recommends having 2 parallel planning cycles for quarterly OKRs and annual OKRs. A quarter is short enough to drive immediate action and respond to changes, yet is long enough to deliver meaningful results.
- Go for fewer KRs, but make sure that each one is significant. A well-defined objective can usually be achieved with just 3-5 strong KRs. Check that your KRs:
 - (i) Are concise, specific, and measurable (e.g. “reduce average processing time by 5 seconds”);
 - (ii) Include both inputs and outputs (e.g. reduction in errors by 10% and winning 5 awards); and
 - (iii) Will jointly result in the objective being achieved.



It takes commitment to push aside distractions and stick to your core priorities. It will also take dedicated effort to tailor an OKR system for your organization. Commit to the process and keep persisting.

- Nuna is a healthcare data platform and analytics company. In 2015, Nuna tried to implement OKRs using a top-down approach. However, it failed as there was no buy-in from the leadership team nor any integration with their existing goal-setting process.

KEY QUOTES

“The art of management lies in the capacity to select from the many activities of seemingly comparable significance the one or two or three that provide leverage well beyond the others and concentrate on them.”

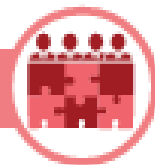
- Andy Grove

“Key results are the levers you pull, the marks you hit to achieve the goal.”

“To inspire true commitment, leaders must practice what they teach.”

- They tried again the following year. This time, the founder personally reached out repeatedly to each person, and set the example by sharing and inviting feedback on her OKRs. Gradually, OKRs became a vital part of the organization.

2. Alignment and Connection for Teamwork



Alignment means that everyone's efforts are directed toward the same vision and objectives. **By making everyone's goals transparent—from the CEO to the front-line staff—OKRs help people to understand their inter-dependencies and see how their work serves a wider purpose.**



In short, OKRs can promote teamwork, work satisfaction and alignment.

- With transparency, everyone can see what everyone else is doing. They understand where they fit in the big picture and feel a greater sense of connection.
- It's also easier for teams and individuals to set their OKRs and develop solutions that're aligned with the organizational-OKRs. People can take the initiative to coordinate efforts across various functions, reach out to colleagues to explore potential areas for collaboration and reduce duplication. It also facilitates rewards and recognition based on meritocracy.



Connecting your OKRs. Imagine you're the General Manager of a football club. Your objective is to earn profits for the owners with 2 KRs: (i) win the Super Bowl and (ii) fill $\geq 85\%$ of your home stands. To achieve these KRs, you need your coaches build a winning team and your marketing team to fill the stands.

- With the high-level OKRs, your coaching and marketing teams can figure out how exactly to align the team/individual OKRs with the wider goals.
- These OKRs are shared openly so anyone can see the big picture and contribute ideas. There's a healthy mixture of top-down and bottom-up goal setting. People can easily identify potential areas of synergy and collaboration, and coordinate any cross-functional changes.

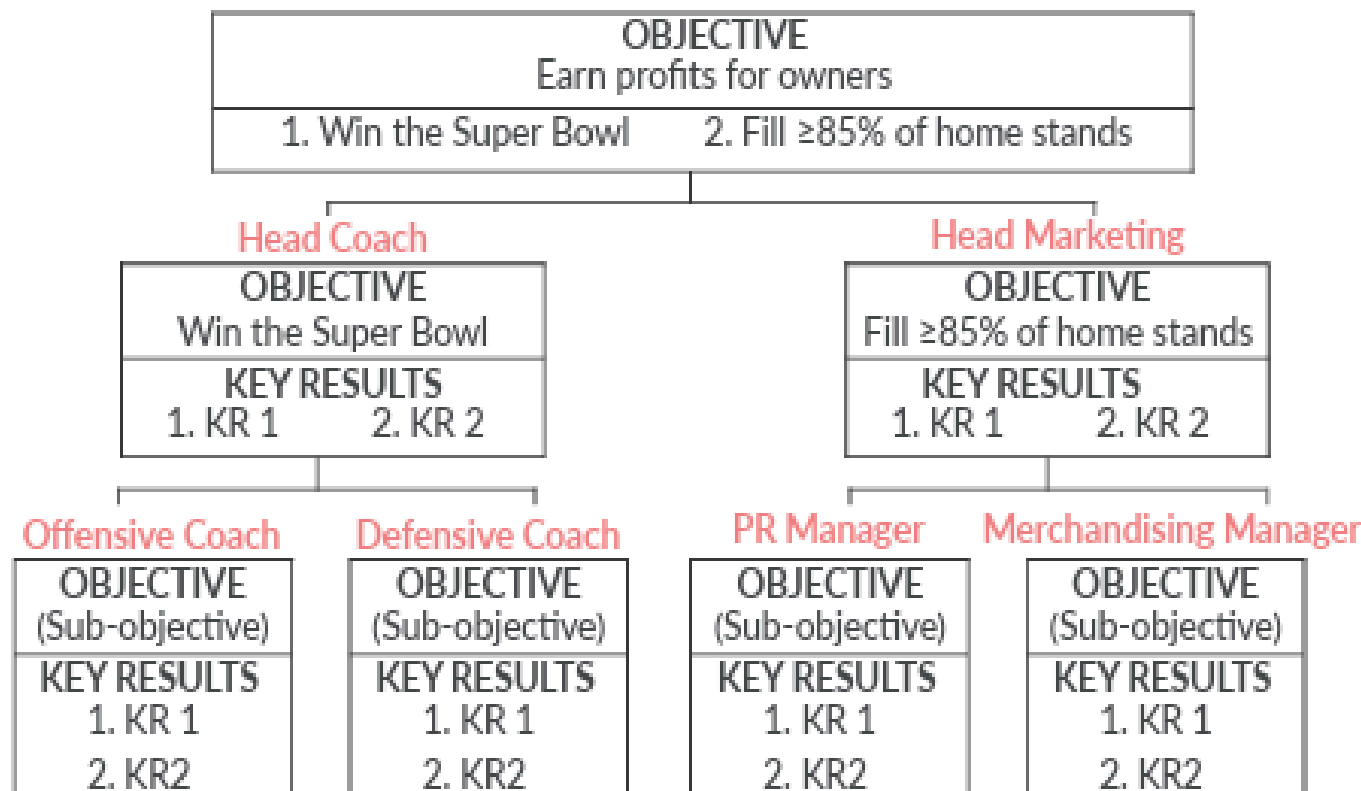
KEY QUOTES

"Alignment is about helping people understand what you want them to do."

"People can't connect with what they cannot see; networks cannot blossom in silos."

"High-functioning teams thrive on a creative tension between top-down and bottom-up goal setting, a mix of aligned and unaligned OKRs."

General Manager



Tips/insights. Doerr shared the case studies of how MyFitnessPal and Intuit used OKRs to facilitate cross-team connection and integration. Here are some insights gleaned from their experience:

- It's not enough to simply set good OKRs. Real coordination between teams can only happen when there are supporting systems and behavioral norms to encourage regular sharing and communication.
- To ensure accountability, there should only be 1 owner for each KR. It's ok for teams to have similar objectives, but every team must have clear, distinct KRs with no overlaps.
- Consider implementing your OKR system in phases. Intuit's Chief Information Officer, Atticus Tysen, rolled out OKRs amongst the IT group progressively like a pilot project. He started OKRs on a small scale with his direct reports for 1 quarter, then expanded to the director level the next quarter, followed by 600 IT staff the following quarter. Eventually, OKRs help the IT group to align some 2,500 active objectives each quarter, both vertically and horizontally.

3. Tracking for Accountability



OKRs are dynamic tools, not static numbers. By tracking and reviewing OKRs regularly, people know exactly where they stand,

KEY QUOTES

"Connected companies are quicker companies."

"Micromanagement is mismanagement. A healthy OKR environment strikes a balance between alignment and autonomy, common purpose and creative latitude."

"OKRs are living, breathing organisms."

stand, what areas must be addressed, and are held accountable for results. Broadly, there are 3 key phases for OKR-tracking.



Setup your OKRs system such that it can be scaled up in future.

- Consider using OKR management software which allows users to create, edit, track and share their OKRs easily, as well as integrate OKRs with other sales or team-collaboration apps.
- For OKRs to work, everyone must be onboard without exception. Consider having OKR champions to overcome resistance and encourage adoption.



Midlife Tracking. When people have a clear goal and can see how they are progressing toward it, they feel more motivated.

- Have a dashboard with real-time progress presented in a quantifiable, visual way (e.g. using charts) so everyone can see (i) where they stand and (ii) where attention/action is required.
- Have regular reviews, including 1-1 and group sessions, to evaluate progress and address obstacles. Ideally, hold weekly check-ins between the managers and contributors.
- Any KR that's not ontrack must be adjusted or replaced. There are 4 options you can consider at any point in time:
 - (i) *Continue* with the items that're on-track.
 - (ii) *Adjust* items that're falling behind, e.g. change the timeline or reallocate resources to bring them back on-track.
 - (iii) *Stop* something if it's no longer a priority. Make sure everyone is notified of the change and do a proper review to learn from the process.
 - (iv) *Start* a new OKR as and when required.



Wrap-up in 3 parts:

- Score your OKRs to evaluate your outcomes, decide if a goal is still worth pursuing and/or identify ways to improve it. In advanced OKR systems, scores can be automatically calculated based on predetermined criteria (e.g. grouping KRs into "green", "yellow" or "red" status for easier management).

KEY QUOTES

"Our goals are servants to our purpose, not the other way around."

"In the end, the numbers are probably less important than contextual feedback and a broader discussion within the team."

- Use the data to do a self-assessment. This is *not* a performance appraisal to assess compensation and rewards. The focus should be on learning and improving future actions.
- Step back to reflect on what you've learned so you can consolidate your learning and to celebrate your successes. Consider (i) how far you achieved your objectives and why, (ii) what you've learned from the obstacles you faced, (iii) how you could've written your objectives better and (iv) how you could better approach future OKR-cycles.

📌 When tackling ambitious, long-term goals, break things down into smaller, meaningful parts that can be measured and tracked. For example, the Bill & Melinda Gates Foundation has the ambitious goal of eradicating malaria. However, they must first consider if it'd be more practical to expand the reach of vaccination or eradicate the disease. Only then could they define the next level of strategy and break things down into daily activities that can be tracked and evaluated.

4. Stretching for Breakthroughs



Innovation is essential for organizational success. This in turn requires that people stretch beyond existing limits and solutions. **OKRs deliver all the factors above—focus and commitment, transparency and alignment, tracking and adjustment—so people can stretch to deliver breakthrough innovations.**

📈 Stretch goals need not always be big; they could also be about doing small things extraordinarily well.

- Having an innovative culture is simply about striving constantly to deliver much more value with much less resources. When people believe that they're stretching to their full potential, they also feel more fulfilled.
- To win big, you must first think big. Don't assume something is impossible just because it doesn't yet exist. Aim to deliver something that's at least 10x better than what's available, then work backwards to make it a reality.

KEY QUOTES

"There are no judgments, only learnings."

"OKRs push us far beyond our comfort zones. They lead us to achievements on the border between abilities and dreams."

"Conservative goal setting stymies innovation. And innovation is like oxygen: You cannot win without it."

"As a leader, you must try to challenge the team without making them feel the goal is unachievable."

- There's no fixed formula for setting stretch goals. The key is to define (i) what an amazing yet believable outcome would look for your team, and (ii) how you can deliver extraordinary value. Real stretch goals won't be attained 100% of the time. In Google, achieving 70% of OKRs on average is already considered a success. The challenge is to make your goals challenging without being impossible.



Stretch goals can broaden people's perspectives and fuel imagination to create solutions that won't otherwise be considered.

- Google Chrome's success came on the back of a series of stretch goals. The team chose to rethink and reconstruct the best possible browser from scratch rather than merely improve existing browser designs. When Chrome was launched in 2008, Larry and Sergey set an inspiring vision to "make the web as fast as flipping through a magazine". This pushed Googlers to explore totally new solutions and approaches. Each time they failed, they asked themselves what they could do differently. For the first 2 years, the team missed their ambitious weekly-user targets of 20mil and 50mil respectively. However, they kept learning and persevering, finally exceeding their goal of 100mil in 2010.
- In 2012, YouTube made the bold decision to shift its focus from views and clicks to watch-time. This was based on the insight that people would only spend more of their valuable time watching a video if they were happy with it, so a higher watch-time meant higher user engagement and satisfaction. The team set the stretch goal of reaching 1 billion hours (a 10x increase) by 2016. People started to think big and look at ways to fundamentally redesign their architecture and storage. They broke the huge goal down into rolling year-on-year increases, and identified the 3-4 outcomes that'd make the biggest difference. They went on to change the algorithm, make the platform more user-friendly (especially for content like music, how-to videos, and entertainment) and measure *everything* they did in terms of the impact on watch time.



Applying OKRs

OKRs are powerful, but they're not a magic bullet. **To deliver results, OKRs must work hand-in-hand with great leadership and a strong culture.**

KEY QUOTES

"If you set a crazy, ambitious goal and miss it, you'll still achieve something remarkable."
- Larry Page

"Stretch goals are invigorating. By committing to radical, qualitative improvement, an established organization can renew its sense of urgency and reap tremendous dividends."

"Stretch OKRs are an intense exercise in problem solving."

"By testing our limits and affording the freedom to fail, they release our most creative, ambitious selves."



To set and achieve meaningful goals, you must have ongoing dialogues and continuously manage performance. Annual performance reviews are inadequate and ineffective for such purposes.



Use 3 key components of continuous performance management with OKRs—conversations, feedback and recognition (CFRs)—to achieve transparency, teamwork, accountability learning and ongoing improvement.



Conversations. Hold separate dialogues for compensation and performance management.

- Compensation focuses on past performance while OKRs focus on future goals/performance. Direct your OKR conversations toward (i) where your team members are spending their time/resources, (ii) how they're progressing toward their OKRs, (iii) what obstacles they face, (iv) what support they need, and (v) what types of growth/development they need to achieve their career goals. Leaders should play the roles of facilitators and coaches, not disciplinarians or micro-managers.
- OKRs are still relevant for performance review, but shouldn't be the sole determinant of compensation (e.g. bonuses and pay). After all, someone who achieves 75% of a stretch goal could have delivered much more value than someone who achieves 100% of a conservative goal. At Google, OKRs make up about one-third of compensation considerations.



Feedback. Without feedback, people won't know where they stand nor how to improve. Moreover, in the modern workplace, people *want* to be heard, to be involved in goal-setting and to connect/collaborate with their colleagues.

- By making OKRs transparent and encouraging 360 degree feedback, you're essentially removing silos and allowing ideas to flow freely across the organization.
- Encourage constructive, specific feedback. Make it a norm for people to ask if they're focusing on the right things and how they can do things differently or better.

KEY QUOTES

"OKRs are not a silver bullet. They cannot substitute for sound judgment, strong leadership, or a creative workplace culture. But if those fundamentals are in place, OKRs can guide you to the mountaintop."

"As workplace conversations become integral, managers are evolving from taskmasters to teachers, coaches, and mentors."

"Feedback is an opinion, grounded in observations and experiences, which allows us to know what impression we make on others"
- Sheryl Sandberg

"Public, transparent OKRs will trigger good questions from all directions."



Recognition can be more motivating than monetary rewards and incentives. OKRs make it much easier for ideas and contributions to be noticed and recognized. It could be as simple as (i) having peer recognition or “shout-outs” whenever someone is seen doing something noteworthy, (ii) celebrating specific goal-achievement, behaviors or milestones e.g. having an “Achievement of the Month” award and/or (iii) sharing stories to acknowledge meaningful achievements, however big or small.

Culture



OKRs and organizational culture are inter-dependent.



Without the right cultural support and buy-in from key leaders, it's hard to successfully install OKRs. For example, Lumeris initially struggled to roll out OKRs as many of its senior leaders adopted an autocratic approach that was inconsistent with both OKRs and with Lumeris' core values. Lumeris made the tough decision to remove senior leaders who didn't fit with the company culture. Without conflicting signals from leaders, they could now educate people about transparency, accountability, and how to use OKRs to improve individual and organizational results.



Once they are in place, CFRs and OKRs work together to influence what people focus on and how they think and act. They create opportunities for everyone in the organization to be heard (including the less vocal people), encourage critical thinking and disciplined action, all of which jointly shape the organization's culture and reinforce transparency, innovation and accountability in a positive loop.



Other Details in the Book to Look out For

There's no one-size-fits-all approach for OKRs. It's up to the leaders of an organization to figure out the right goals and approach for their teams. Besides the highlights in this summary, the book includes various other examples and interviews with leaders to give you a range of perspectives on the potential challenges and results from OKRs. For more details, please visit whatmatters.com.

KEY QUOTES

“Modern recognition is performance-based and horizontal. It crowdsources meritocracy.”

“Goals cannot be attained in a vacuum. Like sound waves, they require a medium. For OKRs and CFRs, the medium is an organization's culture, the living expression of its most cherished values and beliefs.”

“Healthy culture and structured goal setting are interdependent. They're natural partners in the quest for operating excellence.”